

Mamaroneck Student Capital

Mamaroneck High School Non-Profit

To: Investors of MSC

Subject: Yearly Report

Prepared By: Hudson Berger

In the first year of Mamaroneck Student Capital, we focused on: building a disciplined investment process, learning portfolio construction, and developing conviction around long-term secular trends. The portfolio emphasized high-quality businesses, dominant market leaders, and exposure to major themes including artificial intelligence, semiconductors, cybersecurity, infrastructure, healthcare innovation, and broad U.S. equity markets.

Despite market volatility throughout the year, the portfolio generated positive returns while maintaining significant liquidity and diversification. The strategy prioritized owning companies with durable competitive advantages, strong cash flow generation, and leadership positions within growing industries.

Throughout the year, the portfolio continuously added capital into the Vanguard S&P 500 ETF as a core foundational position. This approach provided broad exposure to the U.S. economy while reducing timing risk and reinforcing long-term investing discipline.

Portfolio Overview (06/01/2026):

Current Portfolio Value: \$15,004.13

Total Cost Basis: \$13,575.90

Total Unrealized Gain: \$1,428.23

Equity Portfolio Return (Excluding Cash): +13.75%

Total Return YTD: +7.31%

S&P 500 Unrealized Return: 8.58%

Money Market Fund/Cash: \$6,000

MSC outperformed the Vanguard S&P 500 by approximately 5.2 percentage points during its first year.

Investment Philosophy:

In the first year of Mamaroneck Student Capital, we focused on

Long-term investing over short-term trading

High-quality businesses with durable moats

Diversification across sectors

Maintaining liquidity for future opportunities

Balancing growth with stability

Holdings Overview:

Broadcom Inc:

Sector: Information Technology

Investment Thesis: Exposure to AI infrastructure, networking, and data center growth
Unrealized Return: +17.24%

Taiwan Semiconductor Manufacturing Company (TSMC):

Sector: Information Technology

Investment Thesis: Foundational semiconductor manufacturing leader powering global AI demand

Unrealized Return: +47.10%

Palo Alto Networks, Inc:

Sector: Information Technology

Investment Thesis: Long-term cybersecurity demand and enterprise security leadership

Unrealized Return: +48.16%

Prologis, Inc:

Sector: Real Estate

Investment Thesis: E-commerce and logistics infrastructure exposure

Unrealized Return: +9.36%

Dominion Energy, Inc:

Sector: Utilities

Investment Thesis: Stable defensive utility with dividend and infrastructure exposure

Unrealized Return: +3.44%

Eli Lilly and Co.:

Sector: Health Care

Investment Thesis: Leadership in obesity and diabetes treatment markets

Unrealized Return: +5.57%

Robinhood Markets, Inc:

Sector: Financials

Investment Thesis: Retail investing platform and crypto trading exposure

Unrealized Return: +16.71%

Fidelity Money Market Fund:

Sector: Cash & Equivalents

Investment Thesis: Capital preservation and liquidity reserve

Unrealized Return: N/A

EMCOR Group Inc:

Sector: Industrials

Investment Thesis: Exposure to U.S. infrastructure spending, electrical construction, data center development, and mission-critical building services.

Unrealized Return: -2.45%

Alphabet Inc. Class C:

Sector: Communication Services

Investment Thesis: Dominant position in digital advertising, search, cloud computing, and artificial intelligence through Google and Gemini.

Unrealized Return: -2.93%

Linde PLC:

Sector: Materials

Investment Thesis: Global leader in industrial gases with exposure to manufacturing, healthcare, clean energy, and semiconductor production.

Unrealized Return: -3.11%

Vanguard S&P 500 ETF:

Sector: Diversified Market Exposure

Investment Thesis: Core diversified U.S. equity exposure through dollar cost averaging

Unrealized Return: +8.58%

Top Performing Investments:

Palo Alto Networks (+48.16% Unrealized Gain)

Palo Alto Networks generated an unrealized gain of 48.16%. The company benefited from increasing enterprise cybersecurity spending, growing AI-related security concerns, and strong execution across cloud and network security products. The investment reinforced the belief that cybersecurity remains one of the most important long-term technology sectors.

Taiwan Semiconductor Manufacturing Company (TSMC) (+47.10% Unrealized Gain)

TSMC delivered one of the strongest returns in the portfolio with a 47.10% unrealized gain as global demand for advanced chips accelerated due to AI infrastructure spending. As the dominant manufacturer of leading-edge semiconductors, TSMC remains one of the most strategically important companies in the global technology supply chain.

Looking Ahead:

Entering the second year of Mamaroneck Student Capital, we plan to continue refining the investment process while expanding research capabilities and sector expertise. The focus will remain on disciplined research, long-term investing, and building a portfolio of durable businesses positioned to benefit from structural global trends.

